



Order-Book Liquidity and ICO

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2026

A \$100k sell of MOR is eleven days of volume.

The problem, in Morpheus numbers. MOR trades at \$1.95, about \$17M market cap [verified]. DEX liquidity is \$1.4M, and 88.8% of it is one protocol Safe's own capital, held in constant-product pools [verified]. Half of that figure is MOR itself, so the quote-side depth that absorbs a sell is near \$600k [verified]. Daily volume is \$8.9k [verified]. A \$100k sell is therefore eleven days of the whole market. A constant-product curve prices every trade against a passive reserve. There is no resting bid to lean on. No amount of protocol-owned depth changes the shape of $xy = k$.

The fix, named to a repo. List MOR on `lux/dex`, the LX order-book engine [verified]. LX is a central-limit order book in Go, with an oracle aggregator and JSON-RPC, WebSocket, and gRPC SDKs [verified]. A book holds two-sided liquidity. Market-makers quote both sides. A resting bid absorbs a sell instead of walking a reserve down. Run the raise on the same venue: `lux/exchange` (`lux.exchange`) fronts LX and supports a compliant token offering, so the raise clears on the book that then carries the pair [verified repo]. The offering depends on SEC approval of a crypto-asset regulation Lux is pursuing; it is pending, not granted [pending]. Nothing here is a solicitation or an offer of a security.

The outcome, with its assumptions. Best case, \$600k of one-sided AMM reserve is replaced by a two-sided book, and a \$100k order becomes a trade rather than eleven days of volume [illustrative]. The number assumes market-makers post depth at the listed pair: a book with no orders is as thin as an AMM with no volume, and the size a raise can clear is the size real demand supports. That demand is unproven here; no usage, session, or revenue figure is published across the 62 Morpheus repos [verified]. So depth and spread are measured against the existing AMM over one window, and the improvement is observed rather than asserted.

Why Lux. Lux wrote LX and `lux.exchange` as the reference deployments of an order book and a compliant offering venue. A live MOR pair hardens both. The fix and the product are the same repo, which no other counterparty can say.

What Morpheus gets

- A venue that holds two-sided depth, so a \$100k order is a trade, not eleven days of volume.
- Price discovery from a real book, and treasury capital freed from sitting passive as one side of a pool.
- A compliant path to run the raise on the venue that carries the pair afterward, pending the approval named above.

First step. No contract moves and no 5-of-9 signature is needed to begin. Lux stands up the MOR pair on LX with an initial two-sided book and publishes depth and spread against the AMM over the same window. Morpheus contributors decide, through the MRC process, whether to migrate protocol-owned liquidity onto the book. The offering is downstream of that decision and of counsel.

What a venue does not do. It fixes price discovery and depth. It does not create demand, and it does not value the token. Demand is ADOPT-07; a treasury that can hold the proceeds is ADOPT-03. Neither is assumed here.

ADOPT-06. Venue: `lux/dex` (LX), `lux/exchange` at `lux.exchange`. Pairs with ADOPT-07 (demand) and ADOPT-03 (governance and treasury). • `research@lux.network`